

monetary policy. A nominal anchor is a variable that policy makers can use to “tie down” price level or its path (Mishkin, 1999).

Inflation expectations play an important role in shaping price behaviour. Therefore, the ideal nominal anchor should be able to track inflation expectations. The Committee recommended CPI-Combined headline inflation as the inflation indicator for monetary policy. According to the committee, in the post-2011 period, inflation expectations had been following CPI inflation and was affected by both fuel and food inflation. Therefore, CPI headline inflation was the appropriate target for monetary policy.

Table 9.2: Monetary Policy phases in India

1950s to 1980s	1980s to 1998	1998 to 2016	2016 to Present
Developmental Central banking and Credit Planning & Targeting Credit planning	Monetary Targeting Broad money (M3) as an intermediate target and Reserve Money (M0) as operating target	Multiple Indicators Approach Multiple indicators including interest rates, broad money, credit by banks and financial institutions, capital flows, inflation rate etc.	Flexible Inflation Targeting CPI inflation target (currently of 4 per cent $\pm$ 2 per cent band)

9.5.5 Inflation Targeting Framework

What Urjit Patel Committee (RBI, 2014) recommended was a framework for monetary policy is called the Flexible Inflation Targeting framework. Various economies globally have followed inflation targeting since the late 1980s. An inflation targeting regime follows a monetary policy framework with a mandate for price stability through a numerical target for inflation. This brings in greater transparency and accountability into the operation of monetary policy as well as greater operational independence for the monetary authority. The Government of India and RBI entered into a Monetary Policy Framework Agreement on 25th February, 2015 which required RBI to bring inflation below six per cent by January 2016 and the target inflation for 2016-17 and all subsequent years as 4 per cent with a band of $\pm$ 2 per cent. The RBI Act 1934 was amended in May 2016 to introduce Flexible Inflation Targeting Framework in India. The Government of India notified a medium-term inflation target of 4 per cent with a band of $\pm$ 2 per cent for the period from August 5, 2016 to March 31, 2021. RBI would be deemed to have failed in achieving the target if the inflation in any consecutive three quarters is either above 6 per cent or below 2 per cent. In case of failure to meet the target, RBI is required to present a report to the Central Government detailing the reasons for the failure to meet the target, remedial actions proposed to be taken by RBI and the estimated time in which the target would be achieved through the recommended actions. RBI is also required, once every six months, publish a Monetary Policy Report, explaining (a) the sources of inflation; and (b) the forecasts of inflation for the period between six to eighteen months from the date of publication of the document.

A Monetary Policy Committee (MPC) was instituted to determine monetary policy. For this purpose, the Reserve Bank of India Act, 1934 was amended by

the Finance Act, 2016. MPC consists of six members, out of which three members are from RBI and the other three are appointed by the Central Government as notified by the Central Government. The composition of MPC as follows:

- a) the Governor of the Bank– ex officio Chairperson;
- b) Deputy Governor of the Bank, in charge of Monetary Policy– ex officio Member;
- c) one officer of the Bank to be nominated by the Central Board– ex officio Member; and
- d) three persons to be appointed by the Central Government– Members.

The MPC is to meet at least 4 times in a year. The quorum for a meeting of MPC is four of which at least one is to be the Governor and, in his absence, the Deputy Governor who is a Member of the MPC. MPC determines the policy rate in order to achieve the inflation target. Decisions are based on majority votes by the members of the MPC present in the meeting. Each Member of the Monetary Policy Committee has one vote. In case of a tie of votes, the Governor may have a second or casting vote to resolve the tie. After each meeting of MPC, RBI publishes the resolution adopted by the Committee. On the 14th day, the minutes of the proceedings of the MPC are published.

Check Your Progress 2

- 1) In your opinion, is inflation targeting an appropriate monetary policy regime for a developing country like India? Why or why not?

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- 2) Look at the latest available Bi-monthly Monetary Policy Statement – Resolution of the Monetary Policy Committee (MPC). What is the decision of the MPC with respect to the repo rate? What is the assessment made by MPC on the growth and inflationary outlooks for the economy? How do you think these assessments have influenced the decision on the policy rate?

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9.6 LET US SUM UP

In this unit, we have looked at the concepts of money and inflation and the link between the two. After going through the unit, you would now be able to analyse the current trends in inflation and understand the causes of inflation from an

economic perspective. We have also looked at the objectives of monetary policy in India, its instruments and how it has evolved over the years. Over the years, RBI has moved from direct to indirect instruments for monetary policy. You would realise that the developments in monetary policy framework in the country has paralleled the overall liberalisation and modernisation efforts in the rest of the economy. The current monetary policy framework in India is the flexible inflation targeting framework with a numerical target of 4 ± 2 per cent inflation.

9.7 TERM- END EXERCISES

- 1) What is money and what functions does it serve? Which of these functions do the following satisfy and which they do not?
 - a) Gold coins
 - b) A credit card
 - c) A painting by M.F. Hussain
 - d) A fixed deposit
- 2) What is inflation? How is it measured in India?
- 3) What are the costs of inflation? Do you think there are any benefits to inflation? Why do we not want zero inflation?
- 4) What is the Quantity Theory of Money and how does it explain the relationship between money growth and inflation?
- 5) What are the objectives of monetary policy in India? How has the monetary policy evolved? What is the current monetary policy framework in the country?
- 6) What are the monetary policy instruments used by the Reserve Bank of India?

9.8 KEY WORDS

Money	: Money is anything that is generally accepted as a medium of exchange. Apart from being a medium of exchange, it serves as a unit of account and a store of value.
Inflation	: The rate of increase in the general price level over a period of time. It is measured usually in terms of the growth in a price index such as the Consumer Price Index.
Statutory Liquidity Ratio	: The share of NDTL that a bank is required to maintain in safe and liquid assets, such as, unencumbered government securities, cash and gold. Changes in SLR often influence the availability of resources in the banking system for lending to the private sector.
Open Market Operations	: These include both, outright purchase and sale of government securities, for injection and absorption of durable liquidity, respectively.

Market Stabilisation Scheme	: This instrument for monetary management was introduced in 2004. Surplus liquidity of a more enduring nature arising from large capital inflows is absorbed through the sale of short-dated government securities and treasury bills. The cash so mobilised is held in a separate government account with the Reserve Bank.
Bank Rate	: It is the rate at which the Reserve Bank is ready to buy or rediscount bills of exchange or other commercial papers. The Bank Rate is published under Section 49 of the Reserve Bank of India Act, 1934. This rate has been aligned to the MSF rate and, therefore, changes automatically as and when the MSF rate changes alongside policy repo rate changes.
Cash Reserve Ratio	: The Cash Reserve Ratio (CRR) refers to the average daily balance that a bank is required to maintain with the RBI as a percentage of its Net demand and time liabilities (NDTL) that the RBI may notify from time to time.
Reverse Repo	: The rate at which the Reserve Bank absorbs liquidity, on an overnight basis, from banks against the collateral of eligible government securities under the LAF.
Liquidity Adjustment Facility	: The LAF consists of overnight as well as term repo auctions. Progressively, the Reserve Bank has increased the proportion of liquidity injected under fine-tuning variable rate repo auctions of range of tenors.
Marginal Standing Facility	: A facility under which scheduled commercial banks can borrow additional amount of overnight money from the Reserve Bank by dipping into their Statutory Liquidity Ratio (SLR) portfolio up to a limit at a penal rate of interest. This provides a safety valve against unanticipated liquidity shocks to the banking system.

9.9 REFERENCES

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- 2) Ashima Goyal 2014 “*History of Monetary Policy in India Since Independence*”, Springer Briefs in Economics
- 3) Deepak Mohanty 2011 “*Changing contours of monetary policy in India*” Speech at the Royal Monetary Authority of Bhutan, Thimphu, 1 December 2011
- 4) Deepak Mohanty 2017 “*Eight Decades of Monetary Policy in India*” in India’s Economy: Pre-liberalisation to GST—Essays in Honour of Raj Kapila

- 5) Frederic S. Mishkin 1999 “*International Experiences with Different Monetary Policy Regimes*”, National Bureau of Economic Research Working Paper 6965
- 6) RBI 2014, “*Report of the Expert Committee to Revise and Strengthen the Monetary Policy Framework*” January 2014, Reserve Bank of India
- 7) Reserve Bank of India Act, 1934 (As amended by the Finance (No. 2) Act, 2019)
- 8) Viral Acharya 2017, “*Monetary Transmission in India: Why is it important and why hasn't it worked well*”, Inaugural Aveek Guha Memorial Lecture November 2017, Tata Institute of Fundamental Research (TIFR)

9.10 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Sub-section 9.4.1
- 2) See Sub-section 9.4.1

Check Your Progress 2

- 1) A useful reference could be “*Report of the Expert Committee to Revise and Strengthen the Monetary Policy Framework*” which can be downloaded from the RBI website.
- 2) See the RBI website for the latest monetary policy statement.

UNIT 10 CAPITAL MARKET AND ITS REGULATIONS

Structure

- 10.0 Objectives
- 10.1 Introduction
- 10.2 Role, Significance and Function of Capital Market
- 10.3 Stock Market Development in India
- 10.4 Structure and Performance of Indian Stock Market
- 10.5 Equity Derivatives in India
 - 10.5.1 Exchange-Traded and Over-the-Counter Derivative Instruments
- 10.6 Currency Derivative Market in India
- 10.7 Long-Term Government Bond and Corporate Debt Market in India
 - 10.7.1 Outlook for Development of Corporate Debt Market
- 10.8 Let Us Sum Up
- 10.9 Term-End Exercises
- 10.10 Key Words
- 10.11 References
- 10.12 Answers or Hints to Check Your Progress Exercises

10.0 OBJECTIVES

After going through this unit, you will be able to:

- develop an understanding of the organisational structure, role, function and performance of the Indian capital market;
- explain the radical restructuring of the Indian capital market in the wake of the new economic policy in 1991; and
- discuss the role, function and structure of Indian Equity Market, Currency Market, Derivative Market and Corporate Debt Market.

10.1 INTRODUCTION

A dynamic and efficient financial system plays a pivotal role in any economy for efficient allocation of resources from the surplus segments to deficit segments. The financial system consists of financial markets, financial intermediation and financial products or instruments. A thriving and vibrant economic system requires a well developed financial structure with multiple intermediaries operating in the market with different risk profiles. Further, a financial system helps to increase output by moving the economic system towards the production frontier. This involves transforming a given amount of wealth into more productive forms. It induces public and investors to hold lower saving in the form of precious metals, real estate, land, consumer durables and idle cash balances and to replace these assets by financial instruments such as bonds, shares, preference shares, units etc. As a result a financial system helps to increase the volume of productive

investments. It encourages investment activity by reducing the cost of finance and risk. This is done by providing insurance services and hedging opportunities and by making financial services such as remittances, discounting, acceptance, and guarantees available. Finally, it not only increases greater investment but also raises the level of resource allocational efficiency among different investment channels. The broad picture of the Indian Financial System is presented in the schematic diagram as Figure 10.1. The financial system in India is characterised by progressive liberal policies, vibrant equity and debt markets and prudent banking norms.

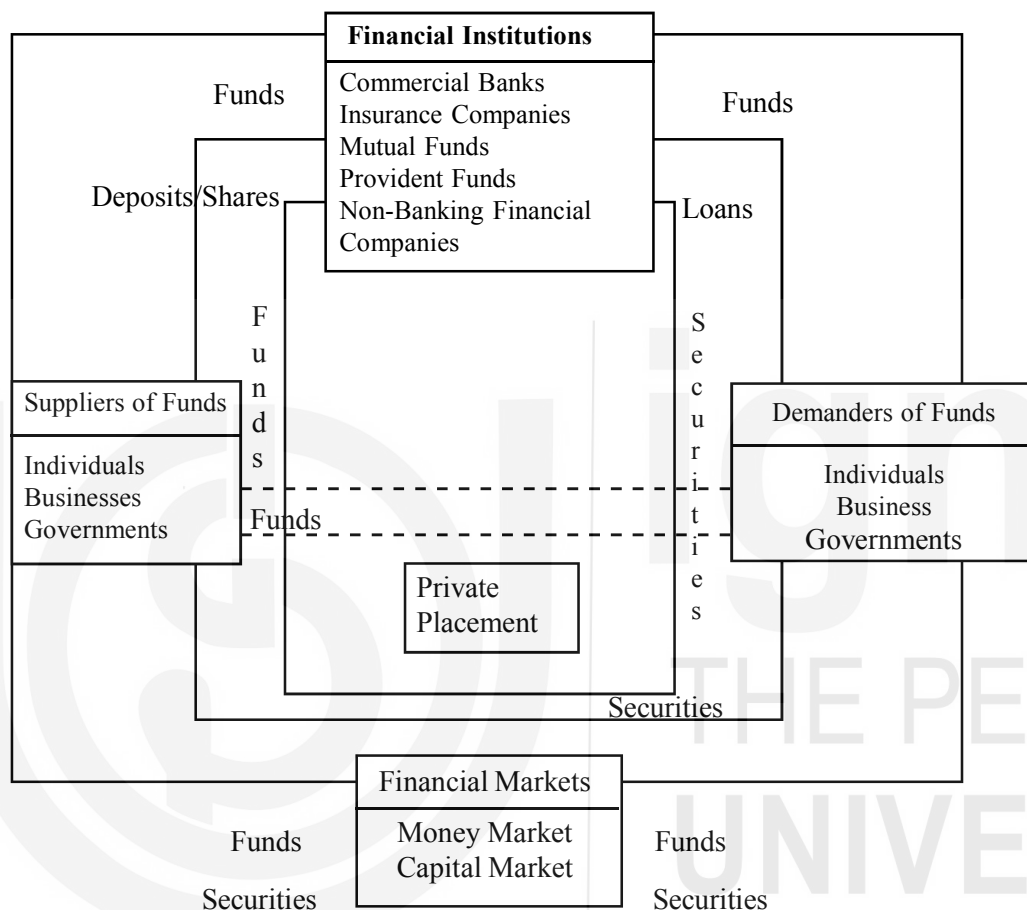


Fig.10.1: Indian Financial System

Source: Author

Capital market is an integral part of the financial market. The capital market is a market for financial assets which have a long or indefinite maturity. Capital market is broadly categorised into two parts such as primary and secondary market. In the primary market, new stock or bond issues are sold through a mechanism popularly known as underwriting. In the secondary market shares that have been issued are traded through organised exchanges such as stock exchanges, over the counter, etc. The capital market consists of stock or equity market, debt market, derivative market, foreign exchange market and commodity market. These markets are providing the facilities for buying and selling of the variety of financial claims and services. The corporations, financial institutions, individuals, and governments trade in financial products on these markets either directly or through brokers and dealers on organised exchanges or off exchanges. The capital market participants on the demand and supply sides of these markets are financial institutions, agents, banks, brokers, dealers, lenders, savers and others who are interlinked by the laws, contracts, covenants, and communication networks. The

primal role of the capital market is to channelise investments from investors who have surplus funds to the ones who are running a deficit. Financial regulator such as the Security Exchange Board of India (SEBI) oversees the capital markets in their designated jurisdictions to ensure that investors are protected against fraud among other duties.

Reforming and liberalising financial markets began in the wake of the country's 1991 balance-of-payments crisis. The thrust of these reforms was to promote a diversified, efficient and competitive financial system, with the ultimate objective of improving the allocation of resources through operational flexibility, improved financial viability, and institutional strengthening. The pace of reform was, however, slower than those in product markets, partly because the introduction of stricter prudential controls on banks revealed significant problems in asset portfolios. Prior to the reforms, state-owned banks controlled 90 per cent of bank assets— compared with approximately 10 per cent at end-2005— and channelled an extremely high proportion of funds to the government. Interest rates were determined administratively; credit was allocated based on government policy and approval from the Reserve Bank of India (RBI) was required for individual loans above a certain threshold. Capital markets were underdeveloped, with stock markets fragmented across the country. The major stock market acted mainly in the interest of its members, not the investing public. Derivative markets did not exist and comprehensive capital controls meant that companies were unable to bypass domestic controls by borrowing abroad. Concerns over the 1997-98 Asian financial crisis and its contagion effects further spurred Indian authorities to strengthen the domestic financial system. Reforms were, and continue to be, based on several principles: (i) mitigate risks in the financial system; (ii) efficiently allocate resources to the real sector; (iii) make the financial system competitive globally, and (iv) open the external sector. The goal was to promote a diversified, efficient, and competitive financial system which would ultimately improve the efficiency of resource allocation through operational flexibility, enhanced financial viability, and institutional strengthening.

The economic impact of COVID-19 is shaping up to be significant, however uneven, across the Indian financial markets. Major structural economic reforms in India such as demonetisation on 8th November 2016 and implementation of Goods and Services Tax on 1st July 2017 poses a major challenge on Indian equity market and foreign exchange market. The outbreak of global COVID-19 pandemic crisis has impacted the Indian economy, like others, by restricting people, minds, innovations, goods and services. This has reflected in terms of reduction in consumption demand, production and supply chain management, investments, worsening of unemployment, reduction in the volume and receipts of exports and imports, consequently a reduction in the growth rate.

10.2 ROLE, SIGNIFICANCE AND FUNCTION OF CAPITAL MARKET

The capital market facilitates the transfer of capital (financial) assets from savers to investors. It provides a significant amount of liquidity which refers to how easily an asset can be converted to currency without loss of value. The major functions of the capital market include efficient dissemination of information enabling quick valuation of financial instruments, providing insurance against market risk and price risk, enabling broad-based participation, providing

operational efficiency through simplified transaction procedures, lowering settlement timings and lowering transactional costs. Apart from these, the capital market plays a vital role in advancing integration between real and financial sectors, equity and debt instruments, long-term and short-term funds, private sector and government sector, and domestic and external funds. It also speeds up growth and development by directing the flow of funds into efficient channels through investment, disinvestment and reinvestment. Thus the various roles of the capital market contribute to mobilisation of savings and acceleration of capital information, promotion of industrial growth, raising of long-term capital, provision of a variety of services, and efficient and optimum channelisation of funds.

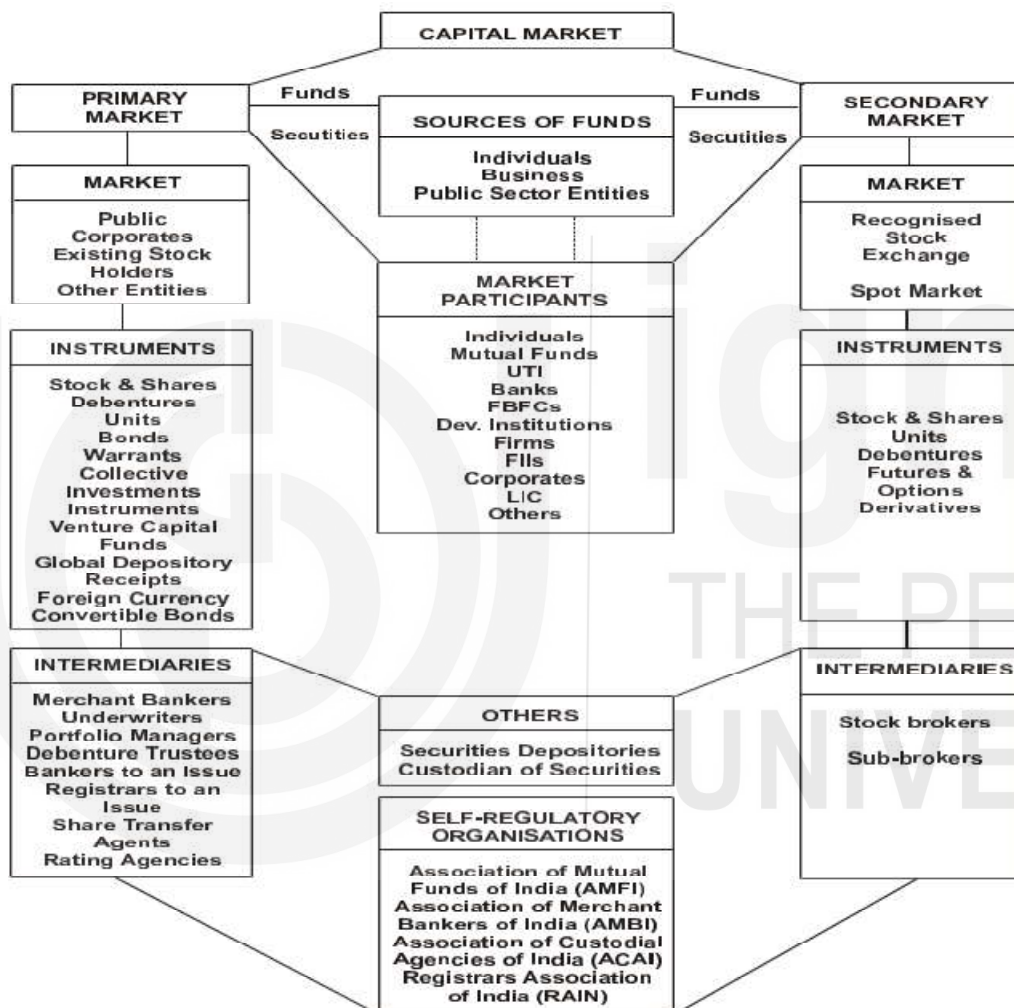


Fig. 10.2: Components of Indian Corporate Securities Markets

Source: Author

Check Your Progress 1

1) What are the constituents of financial system?

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- 2) Who are the different participants in a capital market?

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- 3) List the major functions of a capital market.

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10.3 STOCK MARKET DEVELOPMENT IN INDIA

To understand the role of a stock market in the process of the socio-economic development process, let's start with posing a question: why do stock markets exist? Why is it important? In common parlance, a stock market is defined as a public market where investors can buy and sell shares on the stock exchange. The stocks are also known as common stock or equities and represent a fractional ownership of the business in a company, firm or industries. Stock markets have existed for centuries. Since its inception, the stock market has served multiple purposes. The most important being to provide the companies with a means to raise capital for investment and operational expansion. It also helps investors/savers earn a return on their savings when they invest in the stock market and allows firms to spread their risk by diversifying their business across sectors, assets, industries, and geographies. This way of raising capital can help companies to expand their operation alongside the creation of jobs in the economy. From the larger perspective of economics, the increase in employment increases purchasing power and therefore consumer spending, production and improves supply chain management. The government benefits from tax revenues to advance provisioning of public goods and thus economic growth and development. Apart from conducive fiscal and monetary policies, a stock market plays a pivotal role to promote investment activity in an economy.

A developed stock market is considered as the major barometer of economic growth because (a) it provides an additional channel (along with banks and financial institutions) for encouraging and mobilising domestic savings, (b) ensures improvements in the productivity of investment through the market allocation of capital, (c) increases managerial discipline through the market for corporate control. In brief, the various indicators of stock market development are Market Capitalisation Ratio (MCR)¹, which is considered as a measure of stock market size. In terms of the economic significance, market capitalisation as a proxy for the market size is positively related to the ability to mobilise

¹ The MCR is defined as the value of listed shares divided by GDP.